Why does diversification work? After all, wouldn't you think that the more stocks you own, the more likely you are to catch a loser? Or at least that you're as likely to catch a loser as you are to bag a winner? Is it possible to be overdiversified and own too many stocks? And if it is possible, wouldn't these same general issues apply to mutual funds as well? Thousands of mutual funds are available in North America today. Does any one mutual fund have enough stocks in it to be labeled "diversified"? How many mutual funds should you own to be properly diversified? Given the emerging global economy, how much international exposure should your investments have? And finally, now that we have moved beyond the traditional view of the personal balance sheet in Chapter 2, "Insurance Is a Hedge for Human Capital," what adjustments must we make to the diversification concept?

To answer these and related questions on the benefits of diversification, in this chapter I would like to focus on the core reasons for diversifying, and I want to do that by examining the odds the investments you choose go up, go down, or go nowhere. After you understand the exact reasons for diversifying while you are saving for retirement, you can then transition into what exactly happens after you arrive at retirement. My main argument here is that when you are accumulating wealth (but not withdrawing any funds or money from the portfolio), the most important concept you must understand is diversification.

Why Does Diversification Work?

One thing I should make clear about the whole subject of diversification is that nothing is inherently magical about splitting your 401(k) or IRA money into many small parts and putting each part into a different investment vehicle. The benefit is not derived from the process of splitting the money, or placing it into different mutual funds. Rather, it's the simultaneous movement of these investments that's important. In other words, how do they behave, move, and grow over time? Do they move in lockstep? If one zigs, does the other zag? Obviously, these are critically important questions, because if the various investments all move in the same direction at the same time, up or down, you're not likely to benefit very much from diversifying. If they're all moving up, you might as well pick one good fund, or stock